

There are six types of gaps, four of which I review in this chapter. The ex-dividend gap is not considered because it rarely has any investment significance. The ex-dividend gap usually occurs in utility stocks or stocks with high-paying dividends. On the day of dividend distribution, the price sometimes moves downward, leaving a gap on the price chart. Even though the price of the stock after distribution is reduced by the dividend amount, the day's trading range often fills the gap so no actual gap appears on the chart.

The opening gap happens nearly all of the time on intraday stock charts. It is the gap between yesterday's close and today's open. If the gap remains open throughout the day, it can form one of the other gap types (area, breakaway, and so on).

For end-of-day traders, opening gaps don't have much significance. For intraday traders, opening gaps give a day trader the opportunity to make a lot of money quickly, often by fading the gap. For more details, read my book, *Evolution of a trader: Swing and Day Trading* (Wiley, 2013).

In the above Results Snapshot, I show how often the various gap types close within a week. I sorted it not by the breakout direction, but by whether price gaps up or down.

I define *closing the gap* to be when price returns and spans (covers) the gap completely. The area gap closes quickest, with 85% to 92% of those gaps closing within a week (depending on the bull or bear market). At the other end of the scale, we find breakaway gaps rarely (usually 1%) close within a week. In the middle are exhaustion gaps (which close the gap quickly) and continuation gaps (which usually stay open longer than a week).

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Price gaps upward when yesterday's daily high is below today's low price. Price gaps downward when yesterday's low is above today's high. In both cases, some type of exuberance is driving the stock to create a gap (provided the stock is not thinly traded). Sometimes a gap is nothing more than the stock being worth less simply because of a dividend distribution. At other times, the repercussions are more severe. An earnings surprise,